FEBRUARY 1, 1968

FORBES

AN INTERVIEW WITH MARRINER ECCLES
The former head of the Federal Reserve has some gloomy notions of where the country and the economy are going.

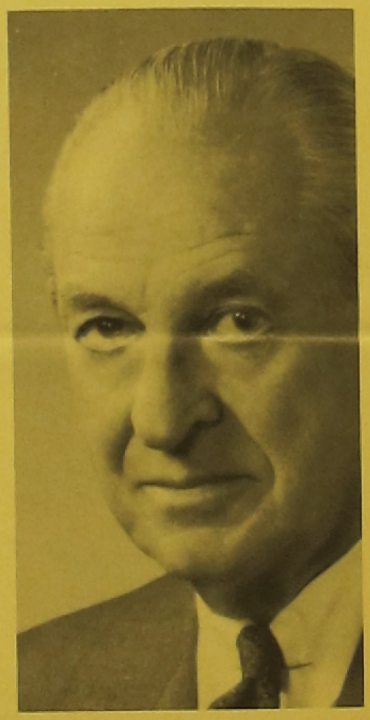
As I See It

"The Administration's moves are not adequate to bolster the sagging confidence abroad in the value of our dollar."

An Interview with Marriner S. Eccles

His name and his face were once as familiar to the business public as those of his successor today, William McChesney Martin, but Marriner S. Eccles has been out of the public eye since he retired from the Federal Reserve Board in 1951. Now 77, and still hale and hearty (see *Side Lines, p. 7*), the blunt, outspoken Salt Lake City Mormon remains a full-time working businessman. He is chairman of the big San Francisco-based Utah Construction & Mining Co., a firm of which his father was co-founder. He is also chairman of First Security Corp., a Salt Lake City bank holding company, and director of several Utah firms.

Eccles first came to Washington early in the New Deal of Franklin Delano Roosevelt to serve briefly as Assistant Secretary of the Treasury. A few months later, in 1934, the President appointed Eccles to the Federal Reserve Board. In 1936 Roosevelt moved the then 47-year-old Eccles up to chairmanship of the revamped Fed. He remained in that post until 1948 when Harry Truman demoted him. Stubbornly, however, Eccles clung to his board membership for three more years before returning home. He has maintained a keen interest in national, financial and political affairs; in 1964 he was an active contributor and campaigner for Lyndon Johnson.



You've been in business and in policy-making government roles under all sorts of conditions: wars, depressions, times of prosperity, inflation, deflation. How do you read present economic conditions?

ECCLES: I believe that our country today is confronted by the most serious economic, social and political problems, both domestically and abroad, in its history.

We've got rising prices, high interest rates and a balance-of-payments deficit. But these are only effects. They are not causes. You must look for the causes, and—today especially—that means examining economic problems in a broad context.

Just list some of our national problems—the very large and continuing budget deficit, the inflationary pressures, the balance-of-payments deficit, the lack of confidence abroad in our dollar, the riots in our cities, the unrest on our campuses, the split among all classes of our populace and within our political parties. I believe that all of these can be traced to a common cause.

Which is?

ECCLES: Which is the war in Vietnam. I believe very strongly that by ending or greatly reducing the Vietnam war, many of these national problems would be brought a long way toward solution. By greatly reducing, I mean discontinuing the bombing, bringing about a cease-fire and submitting to binding negotiations.

We know you oppose our involvement in Vietnam on moral and political grounds. Evidently, though, you oppose the war on economic and financial grounds as well.

ECCLES: Most certainly. Let me explain the economic predicament that the Vietnam war has gotten us into. Because of the war we now have a defense budget of around $75 billion. This has produced a huge federal budget deficit that will run at an estimated $28 billion for this year. Now, all this spending has come at a time when our economy was already fully utilized. There are no surpluses of manpower and production, as was the condition at the start of World War II. So we are getting inflation in our prices and we are getting inflation in our wages and production costs. We are also experiencing steady increases in our interest rates as business seeks capital to accommodate the high levels of both government and consumer spending. Now this has had an international effect. . . .

> *"As long as we are in Vietnam . . . I do not believe we can cope successfully with our economic situation."*

Before you go on, aren't you ignoring the steps the Johnson Administration has taken to trim this deficit and control inflation with the proposed income-tax surcharge and budget cuts for the next fiscal year?

ECCLES: The tax surcharge, if it passes Congress, may bring in additional revenues of $10 billion and slow down consumer spending a bit. The budget cuts the President is talking about may reduce federal expenditures by around $3 billion or so. But that will still leave a very large, war-inspired budget deficit of between $12 billion and $15 billion.

You're saying that compared with the magnitude of the Vietnam thing, these measures are chicken feed?

ECCLES: That's right. I don't think inflation can be adequately reduced with a deficit of that size in a wartime economy. Nor, to get on with my discussion of the international effects, do I believe the Administration's moves are adequate to bolster the sagging confidence abroad in the value of our dollar. This is another major crisis brought on by our involvement in Vietnam.

That's due to Vietnam, too?

ECCLES: Well, to begin with, we have run a deficit in our international balance of payments in 17 out of the past 18 years. This means the amount of dollars we have spent and invested in other countries is in excess of what other countries have spent or invested here. As a result there has been built up $30 billion of obligations we owe to other countries due in one year or less.

Recently this payments deficit has been rising in rather alarming fashion. In the last quarter of 1967 this deficiency ran to $1.8 billion; for the entire year it was approximately $4 billion. This deficiency has greatly shaken the confidence of the world in our dollars, which, as you know, many nations hold as the reserve for their own currencies.

Now, our huge federal deficit and resulting inflation at home have further aggravated this lack of confidence. Our friends abroad are rightfully concerned about the purchasing power of their dollars.

They are especially concerned about the value of the dollars they own when they see that our inflation is caused by a nonproductive military venture in Vietnam which shows no indication of quick termination. The inevitable result has been a run on our gold to the extent that our national gold supply has been reduced by nearly $1 billion since the British pound was devalued late in November.

What about the President's recent measures to reduce the balance-of-payments deficiency?

ECCLES: You are referring to the cutbacks in foreign lending of banks by $500 million, the reduction of the tourism deficit by $500 million, the $1 billion reduction in foreign investment by U.S. capital and the $500 million reduction in government spending abroad.

This is the program where the Government is expecting the private sector to absorb $2 billion of the cut while it proposes to absorb only $500 million. How could they do less!

Don't you think, though, that these measures tend to bolster confidence in the dollar?

ECCLES: Johnson had little choice. I'm sure our friends abroad put the "bee" on him. Certainly these measures will have a direct effect on our balance of payments. But these are strictly emergency measures; they will only temporarily ease the situation. They do not really get to the heart of the matter—our large budget deficit and inflationary pressure at home and the lack of confidence both at home and abroad in a country at war. These, I believe, will continue to erode the value of the dollar as the world's reserve currency.

Even if these measures are made in concert with a tax increase and cuts in nondefense spending?

ECCLES: Yes, because in my opinion the tax increase and the budget cuts will be too small to make a truly significant reduction in the inflationary pressures and psychology brought about in a country at war.

How about sharp cuts in the budget?

ECCLES: That's whistling in the dark. You simply cannot make big enough cuts in nondefense spending to counter the effects of the war. In the first place, no party in power would think of making nondefense reductions of the size that would be required—especially in an election year.

Actually, there is a growing need to *increase* nondefense spending to take care of problems of our cities, schools, transportation and foreign economic aid—especially in Latin America, to prevent the spread of communism. We are way behind on some of these needs already, and the war is preventing us from catching up.

How about eliminating some of the strictly pork-barrel appropriations with which congressmen and senators favor one another?

All Others, Cash!

Harold M. Talburt—Scripps-Howard Newspapers

ECCLES: They are chicken feed; they don't amount to very much. Besides, some of those expenditures for rivers and harbors are justified by real need. And you can't accomplish much by chopping away at things like Medicare and the poverty program. They may be badly administered, but even now the amount of money being spent on them is a pittance compared with what we are spending in Vietnam.

How about putting on traditional wartime measures like wage and price controls to combat inflation? Or perhaps reviving the excess-profits tax?

ECCLES: Well, you could do these things, but they would be impossible to administer under present conditions and politically impossible to legislate. And they would not be a solution to the problems I have enumerated before.

Can't the Federal Reserve do something about inflation by tightening the money supply?

ECCLES: There really isn't very much the Fed can do in the present instance. It is obligated, as an arm of the Federal Government, to keep enough reserves in the banking system so the Treasury can finance the war as well as refund the tens of billions of dollars of its obligations falling due each year. This, of course, only tends to fuel the inflationary fires. Now, if the budget were balanced and the debt were not so high, perhaps the Fed would be free to tighten credit under inflationary conditions. But that is not the case right now.

This did not prevent the Fed from clamping down hard on the money supply in 1966, when our Vietnam involvement and military budget were already quite large.

ECCLES: But that was two years ago. The budget deficit, even then, hadn't reached nearly the size it has now. Nor was inflation so evident then. You didn't have one huge wage increase after another producing a cost-push type of inflation. You didn't have rising prices throughout the economy. Nor was our balance-of-payments deficiency as acute as it is now. It's a new ball game for the Fed today.

You are saying, then, that the Fed is powerless under present conditions to combat inflation. Could the Fed have done anything, say, three or five years ago to prevent the current outbreak of inflation?

ECCLES: No, no, no. The Fed couldn't have done a solitary thing that would have affected the situation today. The Fed has been doing a good job. Now this war has upset the whole damn show.

You don't paint a very hopeful picture.

ECCLES: Not if we stay in Vietnam. As I mentioned earlier, the problems are not just economic. As long as the federal budget deficit is so high there is little our Government can do to combat the causes of violence, riots and crime in our country, especially in the cities. It can make little progress toward solving problems of education, housing, transportation, air and water pollution and the like.

> "Our friends abroad are rightfully concerned about the purchasing power of their dollars."

Already we have had to cut back on our foreign-aid program, in no small measure because of our war expenditures. I believe that foreign economic aid should be *increased* in backward countries, not decreased. The best way to fight the spread of communism is through foreign aid, not through aggression.

In addition, we have this great split among our populace over the war, disenchantment among our youth, serious divisions within our political parties and a growing lack of confidence in our Government both at home and especially abroad—as witness the run on the dollar.

> "There really isn't much the Fed can do in the present instance."

As I said earlier, all of this broad spectrum of problems can only ultimately be solved by our getting out of Vietnam. Consider what that would mean. Vietnam is the cause for the deficit in our federal budget, the need for a tax increase, the heavy spending that is causing inflation. These problems, in turn, are behind the deficiency in our balance of payments, the lack of confidence in the dollar, the run on our gold supply. The war is the main cause of unrest in our colleges, the inability to cope adequately with the causes of violence in the cities and the splits in our populace and our political parties.

You certainly blame a great deal on this one factor. Is the war there all bad?

ECCLES: In my opinion there is every reason to get out of Vietnam and no good reason to stay there. But one of the most compelling reasons to get out is so that this country can maintain its world leadership. Losing that position would tend to bring about a very disruptive economic condition in our own country and throughout the western world.

The world needs a smoothly operating monetary system to support a rapidly growing world trade which would result in a world at peace. The basis for such a system must be gold and the dollar, plus adjustable drawing rights from the International Monetary Fund.

Now, the supply of gold is limited, so a strong dollar is of paramount importance. Even if the dollar should be devalued, in which case all other countries would quickly follow suit, the world could not live without the dollar to carry on an expanding world trade. The dollar is needed as the connecting link between all other currencies, so the threat to our world leadership caused by our involvement in Vietnam is critical.

Do you think the President will pull out or pull back in Vietnam?

ECCLES: Not in the near future. Mr. Johnson, Mr. Rusk and their Administration have gotten themselves so committed and deeply involved in Vietnam that they must save face. Therefore it would take a change in administration to get us out.

So you believe that a change in administration is the only realistic solution to our present economic problems?

ECCLES: Let me put it this way: As long as we are in Vietnam and are spending so heavily to remain there, I do not believe we can cope successfully with our economic situation. Now, getting out of Vietnam will not suddenly clear away all our national problems. There will still be plenty of them left. But we would not be in the same dilemma we are in now.

We would not be wasting our economic resources in a nonproductive enterprise that we cannot win. And make no mistake about it, even if we are victorious militarily, we will still lose. Russia and China are only too

happy to have us wasting our money and manpower over there and damaging our relations with the rest of the world.

A quick end to the Vietnam war would play hob with the defense industry and its supporting industries. Do you feel that some of the support for this war is from vested interests?

ECCLES: I think one of the real great dangers in our country today is the influence of the defense establishment. Let's face it. The defense industries like the business. As individuals I'm sure these men want peace. But in running their companies they want peace with a $75-billion defense budget, too. These companies have a powerful voice in the Government and with the Congress. Now if these companies are to get the full benefit of their superior technology, for our own people as well as others, we must have peace in the world. We have the strength, we have the power and we have the capacity—if directed in our own enlightened self-interest—to win acceptance as a world leader for good.

If we were to pull out of Vietnam, what would happen? Wouldn't there be a swift diversion of military funds into domestic programs—with little actual reduction in inflation and the budget deficit?

ECCLES: It would take time to divert the larger military expenditures into domestic programs, and I would expect a leveling out more than an inflation. Johnson couldn't get Congress to appropriate funds that quickly or easily, nor would he probably wish to. But with the war it is different. Congress has no choice but to agree to the President's requests for money. Our boys are already over there, the defense contracts have been signed, the national commitment must be supported.

> "In the case of escalation (in Vietnam) our economic problems would go from bad to worse."

In other words, you think that some *of the Vietnam money would go into nondefense spending, but not all of it. But you don't favor giving* all *of the saving back to the public as a tax cut.*

ECCLES: I'm a very substantial capitalist. If there weren't more and more federal money going to fill domestic needs, I would lose confidence in my investments. I am very much opposed to inflation as well as deflation. I favor government fiscal and monetary policy as the way to maintain production and employment at satisfactory levels on the basis of a stable currency.

And if the war goes on . . . ?

ECCLES: It would depend on whether it was a continued escalation or merely a holding position. In the case of escalation, our economic problems would go from bad to worse. Increased controls, war taxation and a much larger military establishment would be necessary. But if we discontinued our bombing and our search-and-destroy ground action and adopted a holding position, negotiations bringing about a peaceful settlement would in my opinion ultimately develop. In that case a tax increase would not be necessary, and sufficient budget cuts could be made to curb inflationary developments. ■

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February 1, 1968